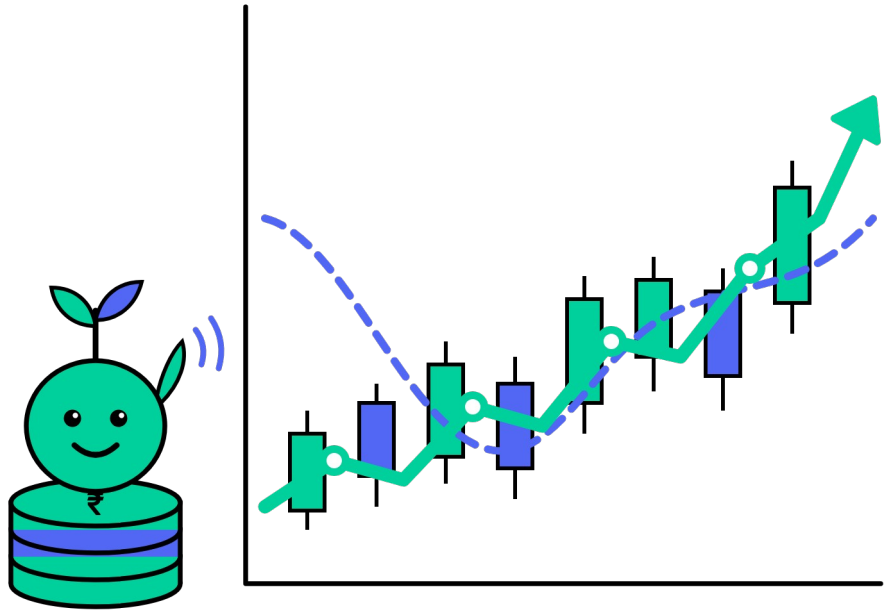
NextLeap graduation project | Growth PM case: Groww

Cracking the 12-Month Horizon: Re-Engineering First-Time Investor Retention on Groww



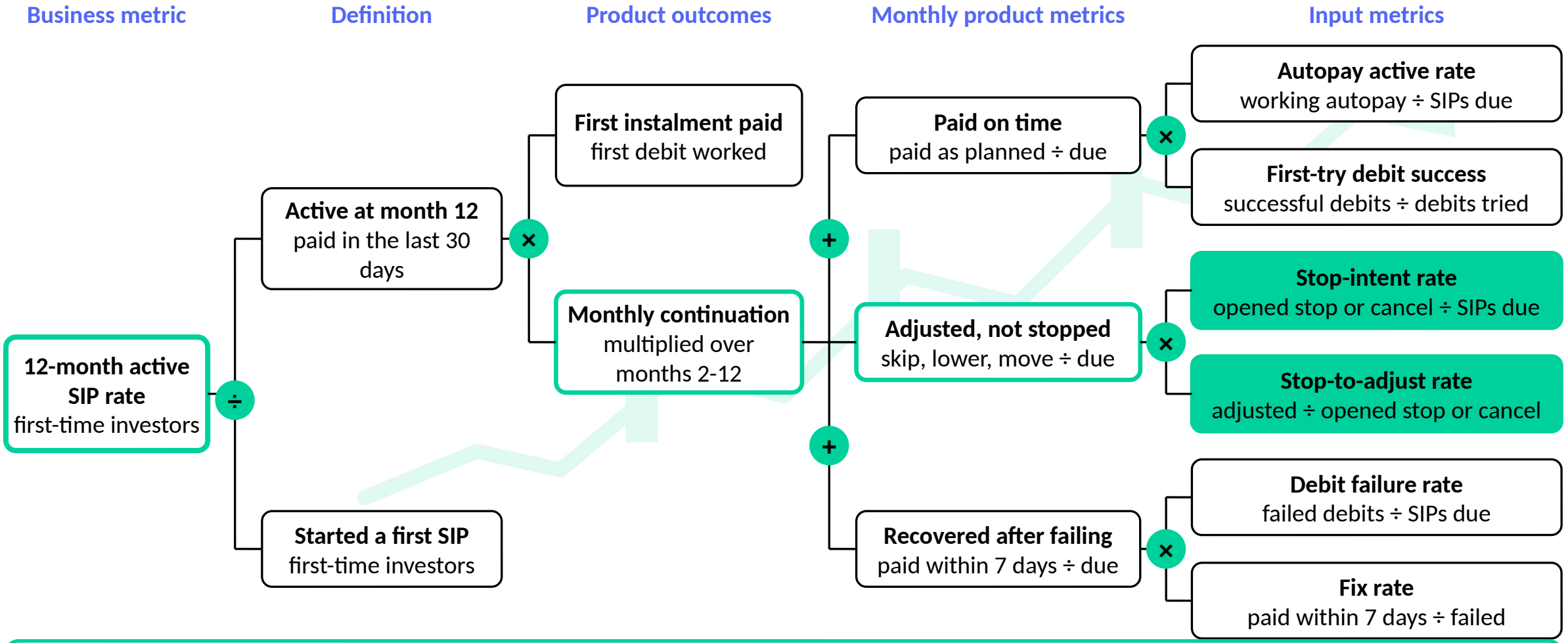
A case study on why first-time investors stop their SIP when returns fall, and how to keep them invested through year one

North-star metric: percentage of first-time mutual fund investors who still have an active SIP 12 months after starting their first one.

11,711 conversations analysed | **8,871** about real SIP journeys | **19**-person survey | **4** interviews | Discovery engine | SIPal MVP

Independent study. Not affiliated with Groww; Groww logo shown for identification only. Not investment advice. Mutual fund investments are subject to market risks.

KPI tree: the 12-month active SIP rate comes down to whether each monthly instalment is paid, adjusted or recovered



Steady SIP continuity can be increased by lowering the stop-intent rate and raising the stop-to-adjust rate.
Fewer investors reach for stop when returns fall, and those who do take a smaller step instead of leaving.

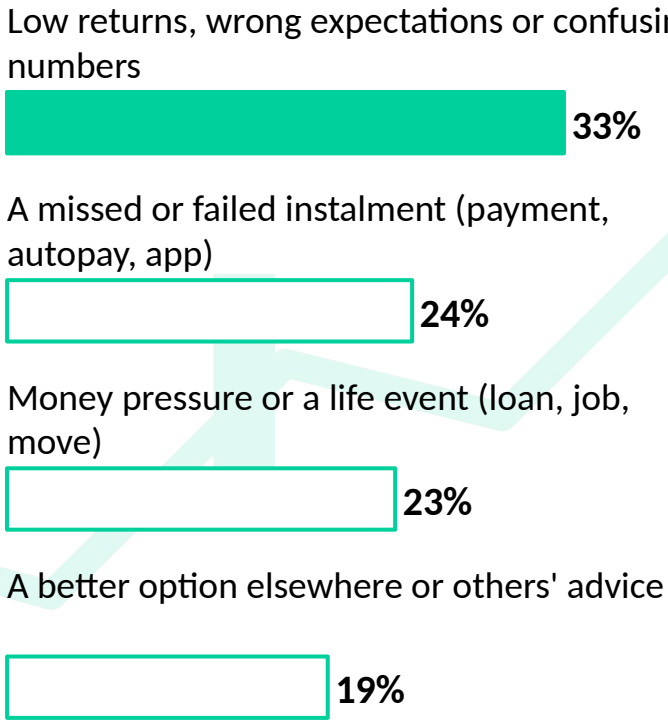
Discovery and user research: across 8,871 real SIP conversations, falling returns are the biggest reason first-timers stop

How the AI discovery engine works

110K	public reviews, Reddit posts and comments, YouTube comments collected
21,073	kept after removing spam, ads and duplicates
11,711	read and labelled by Gemini: what happened, why, feeling, need
8,871	about a real person's own mutual fund SIP
334	show a SIP stopping, pausing or failing; 230 say why

Checked: 97.8% of quotes word for word; a 20-post golden set labelled by hand.
Ask the live engine

Why SIPs stop: 230 stated reasons



33% is the single biggest reason: low returns, wrong expectations or numbers they can't read (solid bar).

What investors are telling us

82% of 1,061 posts about falling or confusing returns sound confused, anxious or frustrated.

1 Unsure

"Should I Stop My SIP in a Small-Cap Fund Underperforming the Benchmark?"

2 Panicking

"Sip band kar do kyun ki market aur gire ga."

3 Shaken

"...I am scared to jump back in"

4 Confused by the numbers

"...my dashboard is showing less than 50% of my invested amount."

5 Giving up at the low

"That's was kinda my reason of stopping sips. My portfolio is the lowest point now."

Chosen target segment: of about 2 to 3 million first-time Groww SIP investors a year, we choose salaried 22 to 30, the largest group

India's population ~1.4 billion

Mobile internet users ~958 million
68% of population | IAMAI 2025

Fintech app users 500M+ UPI users
~52% of internet users | NPCI-BCG 2025

Groww active users 16.7 million
~3% of UPI users | Groww Q4 FY26 letter

First-time SIP investors on Groww
~2 to 3 million a year (estimate)

Students, under 22	**Chosen segment** Salaried, 22-30	Variable income	Mid-career, 31+
29% of first-timers	**51% of first-timers**	12% of first-timers	8% of first-timers
~580K-870K a year	~1.0M-1.5M a year	~240K-360K a year	~160K-240K a year

The entry door
36% of new Groww users start with a SIP (Q2 FY26, up 7 points on last year). For many, the first SIP is their first product on Groww.

The leak
SIP stoppage ratio 78.5% in Sep 2026: 63.26 lakh new SIPs vs 49.68 lakh closed or completed. Acquisition works; keeping SIPs alive is the gap.

Estimate logic
~10M of 16.7M users hold mutual funds; 20-30% assumed to start a first SIP in a year. Segment shares: engine, first-year posts stating age or income.

Sources: IAMAI 2025 | NPCI-BCG | **Groww letter Q4 FY26** | Groww letter Q2 FY26 | SIP stoppage Sep 2026

Hypothesis: when returns fall, first-timers get no calm, plain explanation in the app, so they stop their SIP

Segment: salaried first-time SIP investors, 22-30, in year one (51% of first-timers) **Moment:** the week their returns fall

We believe salaried first-time investors stop their SIP when their returns fall, **because** nothing in the app calmly explains, in plain words, why their value fell and whether that is normal, so stopping feels like the only way to avoid losing more. **If** SIPal explains their own numbers at the dip and offers a gentler step than stopping (pay less this month), **then** more of them will stay invested.

1 Starts hopeful
Expects steady growth of 10% to 15%+ a year

→

2 Returns fall 
A red week; value dips below what was invested

→

3 Root cause
No calm answer: the app shows the loss, not why or if it's normal

→

4 Fear of losing more
Asks Reddit, friends or influencers, or freezes

→

5 Stops the SIP
Cancels or redeems, often at a low point

Why we believe it (discovery engine)

- Low returns, wrong expectations or confusing numbers: 33% of stated drop-off reasons, the largest group
- 82% of 1,061 posts about falling returns sound confused, anxious or frustrated
- 65% of them ask for a plain explanation, “is this normal?” or realistic expectations
- 62 of 77 returns-driven drop-offs had already stopped; 74% sounded anxious, frustrated or confused (54% for other reasons)
- Plain answers come from Reddit and YouTube, not the app

How we will test it, and why “pay less”

Test: A/B test in the next down week with salaried 22-30 first-timers: SIPal's check-in vs today's app.

Right if: fewer open stop after the dip (stop-intent down) and more who do pay less instead (stop-to-adjust up).

Wrong if: investors who understand the dip still stop as often.

Pay less: a gentler step than stopping that keeps the SIP alive; it does not shrink a loss already shown.

Guardrail: cancel stays one tap away, and no alert uses fear or urgency.

Survey and interviews: 10 of 19 thought of stopping, and when returns felt low, none of 4 interviewees turned to the app

Validation of hypothesis

Survey snapshot (n=19)

10 of 19
thought of stopping or pausing (6 yes, 4 maybe)

9 of 19
did nothing next; 4 asked a friend, 3 followed influencers

5 and 2
cited news of the market falling, or low profit

7 of 19
turned to a friend or influencers; none to the app

Interview findings (4 salaried SIP investors)

- 2 of 4 thought of quitting over low returns or jargon
- 0 of 4 turned to the app when worried: brother, Reddit, friend, or nothing
- 3 of 4 expected 10% or more a year, or “exponential” growth
- 4 of 4 named a gentler step than stopping: pay less, skip, move the date
- All 4 want help as a notification, in plain words

Respondent personas

P Praveen, 34 · Watches the graph, nearly quit

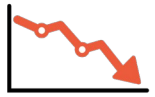
Demographics: salaried; first-ever SIP about 4 months ago, mid-month date
App usage: checks the graph every morning; has used skip and lowered the amount
Key goals: make money, at least 10% a year; wants the app to explain his portfolio
Core friction: low returns and little market knowledge made him think of quitting; asked a friend

D Darshan, 27 · Lost in jargon, eyed other options

Demographics: salaried; first-ever SIP in 2022; 3 to 4 SIPs, Rs 5,000 a month
App usage: opened the app daily in year one (“adrenaline”); read FAQs to use skip
Key goals: steady, organic growth, “not too over excited”; simple explanations
Core friction: notifications full of jargon he had to Google; ETFs and bonds looked better

Problem: when returns fall, first-timers get no calm, plain explanation in the app, so a dip turns into a stop

1 What is the true problem?



First-timers start a SIP expecting steady growth. When returns fall, the app shows a red number but nothing explains, in plain words, why it fell or whether a dip is normal in year one. Read as a loss that will grow, the dip turns into a stop or a redemption, often at a low point.

2 Who faces it?

Salaried first-time investors, 22 to 30, in their first 12 months: 51% of first-timers who state age or income, about 1.0 to 1.5 million a year on Groww (estimate). Personas: Praveen and Darshan.

3 How do we know it is real?

- Low returns, wrong expectations or confusing numbers: 33% of stated drop-off reasons, the largest group (n=230)
- Survey: 10 of 19 thought of stopping; market-fall news and low profit among the reasons
- Interviews: 2 of 4 nearly quit over returns; 0 of 4 asked the app

4 What value does solving it create?

For investors: in a down week, a calm answer to “why did it fall, is this normal, what can I do” with their own numbers, and a gentler step than stopping.
For Groww: fewer stops after dips and a higher 12-month active-SIP rate. Each +1 point keeps roughly 20,000 to 30,000 first-time investors a year (estimate).
Why AI: every dip is personal (own funds, own week), so one fixed FAQ cannot explain it; a checked AI can, for millions.

5 Why solve it now?

- Acquisition works, retention lags: record Rs 32,490 crore monthly SIPs, yet a 78.5% stoppage ratio (Sep 2026)
- 36% of new Groww users start SIP-first, so every market dip now reaches more first-timers
- Groww already shows each return and has an AI assistant (GR-1), but nothing explains a dip at the moment it happens

Solution rationale: a calm alert in the week returns fall scores highest on RICE and meets the root cause

Idea	Reach	Impact	Confidence	Effort	RICE	Fixes the root cause at the moment?
1 Alerts with a calm guide: what happened, is it normal, what you can do	90%	2	80%	3	48	Yes: reaches investors in the week their returns fall
2 AI voice bot in the Dashboards tab	10%	1	30%	4	0.8	No: the investor has to go and ask
3 SIPal guidebook with AI videos in Explore	20%	0.5	50%	5	1.0	Partly: general learning, not their moment

RICE = Reach x Impact x Confidence / Effort. Reach: share of the target segment touched in a quarter. Impact: 0.5 low to 3 massive. Effort: person-months. All values are estimates.

Why idea 1 wins

It is the only idea that comes to the investor in the week returns fall, instead of waiting to be found. Low returns are the largest stated drop-off reason (33%), none of the 4 interviewees turned to the app when worried, and all 4 asked for a notification. It also scores far higher on RICE: 48, against 1.0 and 0.8.

How it was refined

Combined: a calm check-in that explains the dip with the investor's own funds and the week's economic reasons, plus a gentler step than stopping (pay less this month), offered again in daily reminders before the debit. Weekly, not daily; never advice; pay less is never pitched as loss protection.

How this helps

Investors get a calm, plain answer in the week their returns fall: why their own funds moved, whether a dip is normal in year one, and a gentler step than stopping. Groww keeps more first-timers investing through dips, measured by lower stop-intent and higher stop-to-adjust.

MVP and user testing: SIPal is live, every AI answer is checked before it shows, and 3 users' feedback is built in

What SIPal is

A calm in-app guide for the week returns fall: a check-in that explains your own funds and why the market moved, in plain words, and a gentler step than stopping (pay less this month), offered again in reminders before the debit.

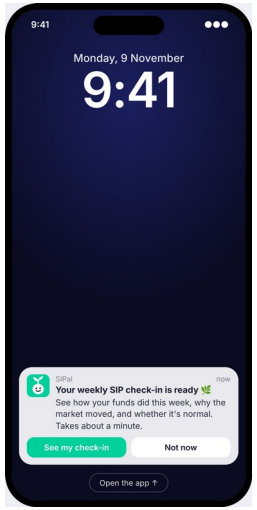
AI with a quality gate

AI only words the facts it is given. Each answer is checked (numbers, no advice, no fund tips, calm tone, a source), or a safe fallback shows. Golden set 18/20; advice-free 20/20; safety tests 17/17. **Where AI earns its place:** answering each investor's own question, in their own words.

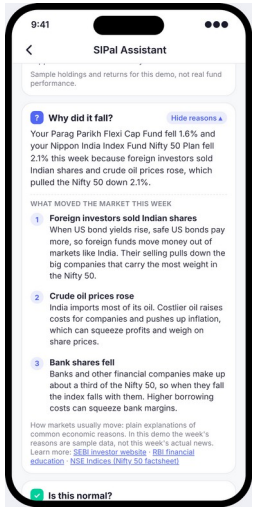
Try it live: SIPal MVP

nextleapgradprojectgrowwsipresearch.vercel.app/sipal

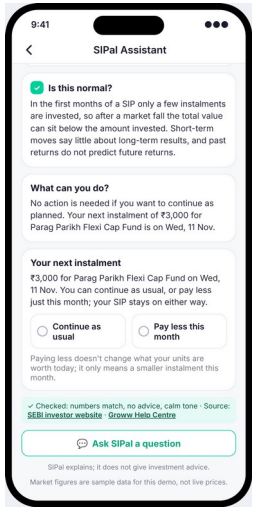
Sample data, no login. Not investment advice.



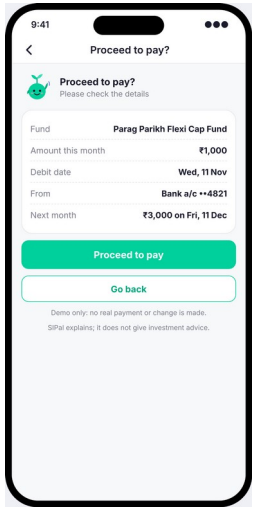
1 **Weekly alert**



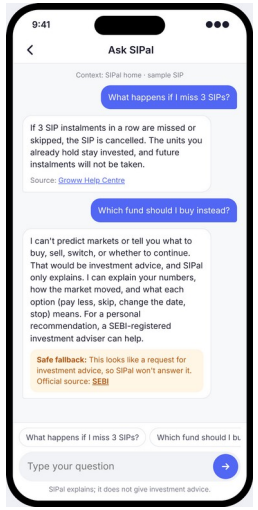
2 **Why it fell**



3 **Pay less option**



4 **Proceed to pay?**



5 **Advice declined**

User testing: what 3 first-time investors found, and what we changed

Tester	What they found	What we changed
User 1	Tabs didn't open; Popular Funds stuck loading; too many suggestions	Tabs work; fund cards shown; suggestions only in Ask SIPal
User 2	"Yes, all set" did nothing; no fund minimum or custom amount	"Proceed to pay?" screen; minimum-amount note; custom amount
User 3	The SIPal explanation took half the screen	Intro cut to one line; tasks as compact buttons
Own review	Zooming on phones; Enter hard in chat; no logo; one reminder only	Fits the screen; multi-line chat box; Groww logo; daily reminders

Success and risks: SIPal aims for +2 to +4 points by keeping first-timers invested through dips; each risk has a mitigation

North star and target

Metric: % of first-time investors with an active SIP 12 months after starting

Target: +2 to +4 points for salaried 22-30 first-timers vs a control group (estimate)

Product metrics that move it

Stop-intent after a dip: opened stop or cancel / SIPs in a down week

Stop-to-adjust rate: paid less, skipped or moved / opened stop

Check-in reach: share opening the down-week check-in

Guardrails

No pressure: cancel stays one tap; time to cancel not worse

No nagging: one reminder a day, stops once answered; mute rate watched

AI gate: 95%+ grounded, 0 advice phrases

Risks and Mitigations



1 Read as investment advice

Risk: an answer sounds like a tip to buy, sell or stop.

Mitigation: advice requests get a fixed decline and a SEBI-adviser pointer; “not advice” on every screen.

2 Wrong or invented explanations

Risk: the AI gets a number or a market reason wrong.

Mitigation: AI only words given facts; every number is checked; a failed check shows standard text.

3 Pushy or too many alerts

Risk: nudges feel like pressure, or get muted and ignored.

Mitigation: weekly check-ins; due reminders once a day for 3 days, stopping once answered; no urgency words.

4 Pay less read as loss-cutting

Risk: investors think paying less protects them from the fall.

Mitigation: worded as a gentler step than stopping; SIPal says a dip buys more units and never pitches pay-less as protection.

5 Small research samples

Risk: 4 interviews and 19 survey answers may not represent everyone.

Mitigation: A/B test against a control group; re-run the golden set after every change.

6 Demo data and privacy

Risk: sample numbers differ from a real portfolio; someone types personal data.

Mitigation: label sample data; no login or PAN, nothing stored; launch only with Groww's data and a vetted market feed.